Document 12. Macroeconomic Aims & Trade-offs

Topic overview. Governments pursue four headline macroeconomic aims and two enhanced aims, but these often conflict in the short run. The skill is to identify which conflict matters in a given context and discuss the policy mix used to resolve it.

Section A. The Four Headline Aims

Sustained growth	Positive and steady real GDP growth, ideally close to potential.
Low & stable inflation	Core inflation near a target (e.g. Singapore MAS targets ∼2% medium-term).
Low unemployment	Reduce cyclical unemployment; minimise structural / frictional.
Healthy BOP	Sustainable current account; avoid persistent twin deficits.

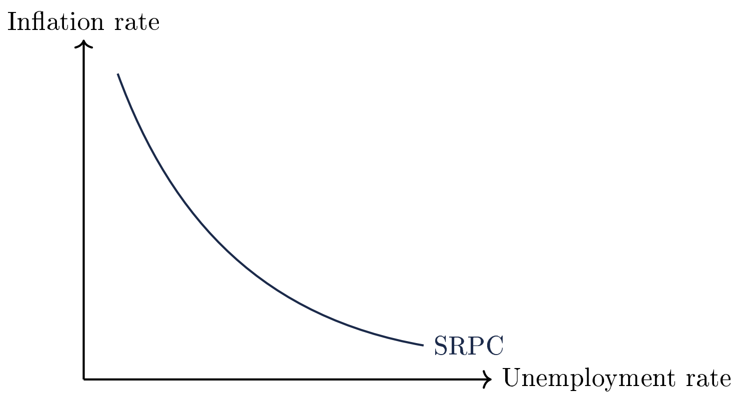
Section B. The Two Enhanced Aims (post-2010 emphasis)

Sustainable growth	Actual + Potential growth that does not deplete environmental and resource capacity.
Inclusive growth	Growth that improves real income across the income distribution; lowers Gini after taxes and transfers.

Section C. Conflicts of Objectives Matrix

Conflict	**Mechanism**
Growth vs. inflation	AD-led growth raises P in the intermediate / classical range.
Growth vs. BOT	Income-led import demand worsens BOT.
Inflation vs. unemployment	Phillips curve trade-off (short-run only).
Equity vs. efficiency	Redistribution may dull incentives; competitive markets may worsen inequality.
Current vs. future consumption	Saving / investing capital goods foregoes today's consumption (PPC trade-off).
Growth vs. environment	Resource extraction vs. sustainability.

Section D. Diagram — Short-Run Phillips Curve



Section E. Question Type 1: Explain the conflict between two macro aims

Step 1. Define both aims.
Step 2. State the mechanism that links them (use AD-AS or Phillips).
Step 3. Show on a diagram and trace the trade-off.
Step 4. Identify any conditions under which the trade-off disappears (e.g. supply-side gains shift LRAS right, easing growth–inflation trade-off).

Section F. Question Type 2: Evaluate the policy mix in Singapore

Step 1. Identify the binding constraint (e.g. external demand weakness in 2020; cost-push inflation in 2022–23).
Step 2. Match aim to instrument (MAS for inflation, fiscal for growth and unemployment, supply-side for long-run).
Step 3. Acknowledge limits (small k limits fiscal stimulus effectiveness; MAS cannot ease too aggressively without worsening imported inflation).
Step 4. Conclude that no single policy is sufficient; Singapore uses a coordinated MAS + MOF + MTI mix.

Section G. Singapore Trade-off Snapshots

- **2010–11 boom + inflation**: MAS tightened S$NEER; foreign worker levy raised; productivity drive launched.
- **2015 oil-price collapse**: MAS eased; falls in inflation accepted to avoid premature monetary tightening.
- **2020 COVID recession**: MAS eased; $92bn fiscal package; Jobs Support Scheme protected employment.
- **2022–23 cost-push inflation**: MAS tightened five times in 18 months; targeted transfers to households (Assurance Package).

Section H. Worked Examples

Worked Example 1: Growth vs. Inflation in Singapore

Q. Assess whether Singapore can achieve sustained growth and low inflation simultaneously.

Thesis (yes, with supply-side). Sustained productivity gains shift LRAS right, allowing Y to grow without raising P. Singapore's RIE 2025, SkillsFuture, EDB FDI play this role.
Anti-thesis (no, short-run). If AD grows faster than LRAS, the intermediate range yields both higher Y and higher P. Imported inflation also limits MAS effectiveness when global prices spike.
Synthesis. Singapore's experience suggests the goals are simultaneously achievable in the medium-run via a supply-side dominated mix, but short-run shocks force temporary trade-offs.